In 1996, IBM coined the term E-Business. Just, as business is broader than commerce, E-Commerce is a subset of E-Business. E-Commerce is commercial transaction through Internet, but E-Business entirely depends on the Internet for its every intra-company and inter-company activities such as procurement of raw materials, marketing, finance, manufacturing, selling and negotiation.

While, E-Commerce is limited with monetary transactions using Internet E-Business is grounded on technologies such as Network Infrastructures (like Internet, Intranet, Extranet), Multimedia content & network publishing infrastructures (like HTML, Online Marketing), Messaging & information distribution infrastructures (like EDI, e-mail, http, Computerized Inventory Management Systems) and other Common business service infrastructures (like electronic payments gateways, globalized Supply Chain Management (SCM), Online Transaction Processing). See Figure 15.2

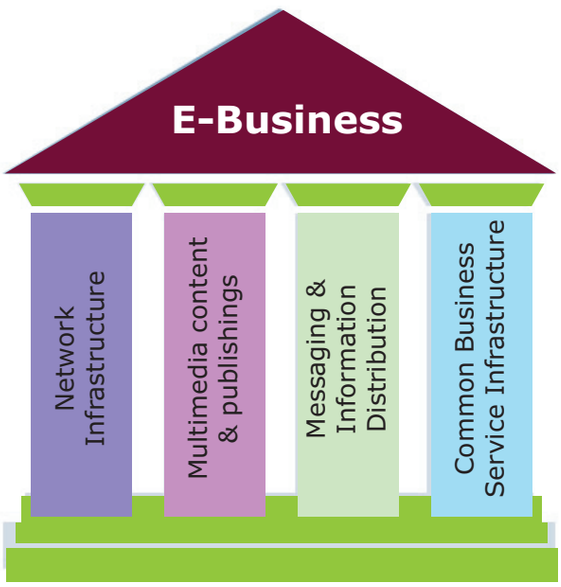


Figure 15.2 E-Business building block

A company is set to have E-Business if and only if

- It has the ability to conduct business electronically over Internet.
- It manages payment transaction through Internet.
- It has a platform for selling products & services via Internet.

E-Commerce

E-Commerce is currently one of the most important aspects of the Internet era. Just like the words e-mail, e-book with the prefix 'e' ('e' stands for electronic) Commerce and Internet makes E-Commerce. It also allows the consumers to exchange goods and services with no barrier of time or distance. Electronic commerce has expanded rapidly over the past few years and is predicted to accelerate.

> E-Commerce can be described as the process of buying or selling products, services or information via computer networks.

It could be a consumer based retail site or auction site or trade between large business organizations. The commodity could be a laptop or a wrist watch or it could be an operating system or a simple browser plugin.

The Physical products which can be seen are touched. They are distinct from intangible goods which have value but are not physical entities.

Tangibles products may be like printed books, CD's and DVD's, lamp etc., Intangible products may be like digital files, downloaded video games, music files are movies which can not be physically touch. Refer Figure 15.3

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